



File No.: EXP202203044

RESOLUTION ON THE EXPIRATION OF PROCEEDINGS

From the actions taken by the Spanish Agency for Data Protection and based on the following

FACTS

FIRST: On March 10, 2022, a complaint was filed with registration number REGAGE22e00006452356 before the Spanish Agency for Data Protection through the "Internal Market Information System" (IMI) against LIVALL IBEROAMERICANA SL with NIF B88276050 (hereinafter, the complained party). The reasons for the complaint are as follows:

The complained entity is a Chinese manufacturer with its main establishment in the European Union, through the company LIVALL EUROPE SL based in Madrid, whose product is smart helmets operable via the "Livall Riding" app, which are sold throughout Europe and therefore the processing substantially affects or is likely to substantially affect individuals in more than one member state.

The complainant purchased a smart helmet from the company, and some of the helmet's functions can only be used through the installation of the "Livall Riding" app, stating that the terms of service that must be accepted when using the app do not comply with the principles of European data protection law, particularly highlighting points 1.3 (Confirmation of the service agreement) and 6 (Privacy protection) of the terms of service. The applicability of Chinese legislation exclusively on certain aspects is also mentioned in points 4.1 and 8.3.

SECOND: On June 7, 2022, in accordance with Article 65 of the LOPDGDD, the complaint was admitted for processing.

THIRD: The General Subdirectorate for Data Inspection proceeded to carry out preliminary investigative actions to clarify the facts in question, by virtue of the functions assigned to the supervisory authorities in Article 57.1 and the powers granted in Article 58.1 of Regulation (EU) 2016/679 (General Data Protection Regulation, hereinafter GDPR), and in accordance with the provisions established in Title VII, Chapter I, Section Two, of the LOPDGDD.

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LEGAL GROUNDS

I

Competence

In accordance with the functions conferred upon each supervisory authority by Article 57.1 a), f) and h) of Regulation (EU) 2016/679 (General Data Protection Regulation, hereinafter GDPR) and as provided in Articles 47 and 48.1 of Organic Law 3/2018, of December 5, on Personal Data Protection and the guarantee of digital rights (hereinafter LOPDGDD), the Director of the Spanish Agency for Data Protection is competent to resolve these investigative proceedings.

Furthermore, Article 63.2 of the LOPDGDD states: "The procedures processed by the Spanish Agency for Data Protection shall be governed by the provisions of Regulation (EU) 2016/679, by this organic law, by the regulatory provisions issued for its development and, in so far as they do not contradict them, subsidiarily by the general rules on administrative procedures."

II

Preliminary investigative actions

Article 67 of the LOPDGDD states the following regarding preliminary investigative actions:

"1. Before the adoption of the agreement to initiate proceedings, and once the complaint has been admitted for processing if there is one, the Spanish Agency for Data Protection may carry out preliminary investigative actions in order to achieve a better determination of the facts and circumstances that justify the processing of the procedure.

The Spanish Agency for Data Protection shall act in any case when it is necessary to investigate

processing that involves massive traffic of personal data.

2. The preliminary investigative actions shall be subject to the provisions of Section 2 of Chapter I of Title VII of this organic law and may not exceed a duration of twelve months from the date of the admission agreement or from the date of the agreement deciding its initiation when the Spanish Agency for Data Protection acts on its own initiative or as a result of communication sent to it by the supervisory authority of another Member State of the European Union, in accordance with Article 64.3 of this organic law."

III

Expiration of the proceedings

In relation to the preliminary actions, the Development Regulation of the LOPD (RLOPD), approved by Royal Decree 1720/2007, of December 21, in force in all that does not contradict, oppose or prove incompatible with the provisions of the GDPR and the LOPDGDD, in its Article 122.4 states that "The expiration of the term

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"without an agreement to initiate sanctioning proceedings having been issued and notified will result in the expiration of the preliminary proceedings."

In accordance with the provisions of the transcribed articles, the preliminary proceedings shall be deemed expired if, more than twelve months have elapsed from the date of admission of the claim, no agreement to initiate sanctioning proceedings has been issued and notified.

In the present case, the computation of the twelve-month maximum duration of the preliminary proceedings began on June 7, 2022, and is still pending completion; therefore, they must be declared expired.

IV

Initiation of new investigative proceedings

On the other hand, Article 95.3 of the aforementioned LPACAP states:

"The expiration will not, by itself, result in the prescription of actions by the individual or the Administration, but expired proceedings will not interrupt the prescription period.

In cases where it is possible to initiate a new procedure due to the absence of prescription, the acts and procedures whose content would have remained the same had the expiration not occurred may be incorporated into this new procedure. In any case, the procedures for allegations, evidence proposals, and hearing the interested party must be completed in the new procedure."

In this regard, the National Court, in its ruling of July 10, 2013 (JUR 2013\259250), considers that "the declaration of expiration of the preliminary investigation proceedings initiated by the Spanish Agency for Data Protection does not pose any obstacle for that entity to initiate or restart other preliminary investigation proceedings on the same facts, as long as the prescription period for the administrative infringement under investigation has not elapsed."

In the present proceedings, the investigation has not yet concluded as it has proven to be a process of enormous complexity both from a technical standpoint and due to the volume of documentation that must be analyzed and studied. Furthermore, new lines of investigation have emerged that need to be evaluated; therefore, despite the time elapsed, the initiated investigation must be fully completed.

Consequently, since the facts under investigation are not prescribed, instructions are given to the General Sub-Directorate of Data Inspection to initiate new investigative proceedings.

Therefore, in accordance with the aforementioned, by the Director of the Spanish Agency for Data Protection, IT IS AGREED:

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FIRST: TO DECLARE the EXPIRATION of the present preliminary investigation proceedings.

SECOND: TO OPEN new investigative proceedings and incorporate into these new proceedings the documentation that comprises the preliminary proceedings declared expired by this act.

THIRD: TO NOTIFY this Resolution to LIVALL IBEROAMERICANA SL and to the claiming party.

Against this resolution, which concludes the administrative process according to the provisions of Article 114.1.c) of Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations, and in accordance with the provisions of Articles 112 and 123 of the aforementioned Law 39/2015, of October 1, the interested parties may optionally file a motion for reconsideration before the Director of the Spanish Agency for Data Protection within one month from the day following the notification of this resolution or directly file a contentious-administrative appeal before the Contentious-Administrative Chamber of the National Court, in accordance with the provisions of Article 25 and Section 5 of the fourth additional provision of Law 29/1998, of July 13, regulating Contentious-Administrative Jurisdiction, within two months from the day following the notification of this act, as provided in Article 46.1 of the aforementioned Law.

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